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Market View

Debasement trade: myth vs reality?

Bitcoin's brief breakout towards a new all-time-high (breaching \$126k at the start of the week) reflected pressure on the USD, cleaner crypto positioning and massive inflows into US spot BTC ETFs. That said, risk assets across the board were unable to sustain the move higher despite many market players initially shrugging off concerns about a prolonged US government shutdown (entering its tenth day). Note that a key deadline is approaching on October 15, when some federal workers and active-duty military personnel are due to be paid.

Since the start of October, US spot BTC ETFs have attracted massive net inflows of US\$4.7B. However, given the increase in the CME basis yield (30d) from 7.5% annualized at the end of September to around 9.8% now (Chart 1), **we believe that at least some of those flows have likely been offset by short term futures positions** on the other side. Unfortunately, data on leveraged funds' short positions is lagged with the latest data as of September 23 suggesting a \$534M decline to \$10.4B as yields came down at the end of last month.

Chart 1. Rise in CME basis yields suggest offset to BTC ETF inflows

As a side note, options on BlackRock's iShares Bitcoin Trust ETF (IBIT) have continued to scale with daily volumes (crossing \$7B) starting to outpace bitcoin options traded on Deribit (which averaged a notional value of \$4.7B per day in September.) This suggests that **institutions are starting to play in the derivatives markets in greater size**, and could potentially crowd out retail players in the future.

Nevertheless, the big question is whether the recent strength of gold, silver, stocks and bitcoin is a result of the "debasement trade", an investment strategy predicated on moving away from fiat currencies like the USD towards "harder" assets. Indeed, we previously argued (see [Monthly Outlook: Dethroning the Dollar](#) from May 2025) that waning dollar dominance now factors heavily into our long-term

bullish bitcoin outlook. That said, don't expect a linear path to de-dollarization, particularly as a bearish USD view is becoming consensus in the short term. That tends to conflate momentum trades with debasement trades, and may explain why we saw the multilateral USD index (DXY) recover sharply over the last three days on the back of a large positioning unwind.

Our view: The recent US government shutdown has put the debasement trade in most investors' crosshairs as it raises the likelihood that the country may be headed towards a debt problem due to the diffusion of responsibilities on Capitol Hill. Nevertheless, we believe the debasement trade is a long-term trend, best approached under new capital market assumptions, rather than a short-term opportunity that often proves difficult to isolate.

Solana ETFs Soon?

Spot SOL ETFs look poised for near-term approval from the SEC which will create a new institutional on-ramp catalyst.

Recently, the [SEC approved](#) generic listing standards for certain spot commodity exchange-traded products (including digital-assets), narrowing the need for case-by-case rule changes. Effectively, this has shortened the approval schedule for ETFs from a maximum of 270 days to a maximum of 75 days. Issuers still need their registration statements declared effective before trading, but the process is now much clearer.

As a result, a host of altcoin ETFs are expected to be approved in the future (as early as 4Q25) with [Bloomberg Intelligence assigning odds near 100% for Solana approval](#). That said, a key eligibility criterion for the new standards is that the underlying commodity "underlies a futures contract that has been made available to trade on a designated contract market (DCM) for at least six months." [Coinbase Derivatives](#) has offered CFTC-regulated crypto derivatives contracts on AVAX, BCH, DOGE, DOT, LINK, SHIB and XLM for at least a year.

Note that **the US government shutdown disrupts the SEC's ability to approve new ETFs** even under the recently implemented generic listing standards, as the Division of Corporation Finance cannot declare registration statements while the Division of Trading and Markets cannot review pending filings.

Currently, the REX-Osprey SOL + Staking ETF (SSK) is the only SOL ETF trading in the US. However, SSK came to the market using an alternative structure—launching as a C-corporation with double taxation—which made it less scalable for mainstream issuers and investors. We think forthcoming spot approvals under the newer SEC framework—with lower fees and simpler tax treatment—should be

far more attractive to prospective buyers and expand liquidity well beyond what SSK alone can support.

Our view: ETF headlines (including the SEC's approval order on new generic listing standards) are supporting near term flows and positioning on the expectation of constructive outcomes. But leverage is also being amplified, which demands some caution. On the derivatives side, open interest sits near cycle highs with funding mostly positive, indicating a long-bias that can power upside on good news but also sharpens any liquidation cascade if macro or ETF timing disappoints (Chart 2).

Chart 2. Solana perp open interest elevated though funding rates remain relatively muted

Solana's network activity

Over the last 24-48 hours, we saw net outflows of SOL spot from centralized exchanges while bridging to Solana flipped to net positive. We believe this not only reduces the immediately sellable SOL inventory on CEX order books, but it could also signal that capital is being redeployed into the Solana ecosystem. However, these are nascent signals so we recommend caution until we see more follow through.

Chart 3. CEXs have seen net outflows of SOL in last 24-48 hours

Chart 4. Solana bridge flows turning net positive

Meanwhile, SSK continued to register net share creations with rising AUM, a small but steady proxy for US tradFi demand ahead of the spot approvals mentioned above (Chart 5). Together, we think these elements suggest that capital is positioning for positive headlines, albeit low perp funding rates and the lack of SOL price momentum may suggest investors are still playing this cautiously in light of the potential leverage and macro risks.

Chart 5. REX-Osprey SOL + Staking ETF (SSK) spot ETF flows and AUM

Solana's onchain liquidity conditions are improving, giving an ETF catalyst more surface area to act on. Stablecoin supply on Solana has accelerated meaningfully on a 30-day basis, expanding onchain purchasing power (Chart 6). With preliminary signs for bridges shifting back to net inflows and CEX outflows potentially resuming, we think the liquidity profile looks better balanced than late last quarter.

Chart 6. Stablecoin momentum on Solana continues to grow

Our view: SOL's valuation temperature reads warm but not euphoric, which we think leaves room for a narrative extension if flows materialize. The MVRV Z-score is positive but well below prior

blow-off extremes, meaning the average holder is sitting on modest (not euphoric) profits. We think this combination of growing onchain liquidity, improving flows, and an upcoming institutional catalyst offers SOL room to appreciate, assuming the macro backdrop remains supportive.

Chart 7. Solana MVRV Z-score versus price

Ethereum's mixed signals

Ethereum's validator queue recorded massive delays this week, but we think the signal for ETH price is mixed. After Kiln's [precautionary exits](#) (tied to the SwissBorg incident) pushed the exit queue to record levels in September, the backlog topped ~2.6M ETH with ~45 days of wait time. This past week we saw an additional ~0.6M ETH enter the exit queue, but this was more than offset by an increase in the entry side of ~1.3M ETH (Chart X). This was [driven primarily by Grayscale](#), which [enabled staking in its US spot ETH funds](#) this week. Netting this, we think the surge in queue times looks like two-way routing (outflows: profit taking + idiosyncratic staking provider de-risking, inflows: institutions entering) rather than a one-way de-risk.

Chart 8. Ethereum's validator queue reaches record highs

Over the long run, one thing we remain cautious about is that a bigger institutional staking base can turn exit-queue frictions into a systemic risk during liquidation cascades. The validator system throttles withdrawals via the exit queue; if price shocks hit and many participants try to exit at once, wait times can spike—delaying redemptions, potentially widening liquid staked token (LST) discounts, and pushing some holders to sell other positions at a loss while they wait.

If large asset managers keep growing staked balances, the synchronous redemption risk rises: more ETH could line up to exit at the same time, lengthening queues and potentially converting delayed redemptions into post-exit exchange inflows that meet a thinner order book. In short, the same institutional flows that stabilize demand in calm conditions can amplify frictions under stress.

Meanwhile, ETH spot supply on exchanges remains tight while ETF demand deepens, a supportive combination for price appreciation. The thirty-day exchange net position change for ETH is deeply negative (i.e. ETH has continued leaving centralized venues) reducing immediately sellable inventory (Chart 9). Meanwhile, US spot ETH ETFs' AUM keeps grinding higher even as September's net inflows (\$286M) cooled from August's record clip (\$3.87B), signaling a persistent bid (Chart 10).

Chart 9. Ethereum exchange outflows remain elevated

Chart 10. Ethereum ETF net flows and assets under management (AUM)

Both onchain liquidity and DEX volumes on Ethereum are expanding together, which we think provide promising signs that value continues to accrue to the Ethereum ecosystem at a growing rate. Total value locked (TVL) has stair-stepped to new highs in October while DEX volumes trend up—evidence that capital isn't just parking but actively cycling through markets (Chart 11).

Chart 11. Ethereum TVL approaches previous all-time high while DEX volumes surge

Beyond speculation, tokenization adds an additional demand leg that compounds with DeFi liquidity. The notional value of tokenized assets on Ethereum has continued to grow with 30-day momentum accelerating, consistent with fresh issuance and program expansions (Chart 12). We think RWA flows are uniquely beneficial for a chain's TVL since they provide a stable base for that TVL, unlike speculative trading which [tends to jump between different blockchains rapidly](#) – chasing the prevailing token narrative(s) of the day.

Chart 12. Ethereum RWA flows

Our view: ETH flows and liquidity lean positive for performance, while the validator queue remains a risk. Persistent CEX outflows, resurgent ETH ETF demand, rising stablecoin float on the Ethereum network, and higher onchain turnover all point to a market with shrinking sellable ETH inventory and growing dollar rails. Over the medium to long run, however, we remain cautious about the participation of large institutions in ETH staking, given the stress this could have on exit queues and the unintended consequences on price.

Flows

US Spot ETF net flows (Trailing 7-day sum)

US Spot ETF assets under management (AUM)

Cross-chain transfers

Stablecoin circulating supply growth - by chain

Relative strength against bitcoin

Financing Rates

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